On 11 March 1993, the TISCO board met. It was the last board meeting that Mody, who had spent more than half a century with the company, would attend. As soon as the meeting started, JRD whispered something into Mody's ear. Mody immediately flew into a rage, recalls Ishaat Hussain. He grabbed his papers, slammed his file shut, got up in anger and declared in a raised voice, 'The meeting is over.' He then stomped out of the room. Hussain adds that Keshub Mahindra responded sharply, turning to Ratan and saying, as if commanding him: 'Get onto the chair, now we sack Russi, let us start the meeting.'

After Mody's departure, Ratan chaired the meeting and the board adopted the retirement policy that had been passed by Tata Sons a year ago. It also appointed Ratan as the chairman of TISCO. The date of his taking over was not, however, announced, in what was seen as a courtesy to Mody.

When Mody learned what had happened at the meeting, he took it as a personal affront. In an interview, he stated that he was not opposed to the age bar, but the 'manner in which it was sought to be introduced' and the fact that he had not been given enough notice to put the house in order was what was wrong.

He also threatened to launch a campaign to educate the TISCO shareholders about the alleged failures and wrongdoings under Irani and mobilize their opinion against him. As these public outbursts were severely damaging to the company, Ratan, the new de facto chairman of TISCO, called for a board meeting on 19 April.

It was the last board meeting in which Mody's further association with TISCO would be discussed. The board removed Mody as chairman of TISCO and appointed Ratan in his place from the day of the meeting. A telex message communicating his removal was sent to Mody, who was in New York.

However, the Ratan–Mody stand-off that had begun two years ago did not end with this. The lavish retirement benefits he demanded became a contentious issue. The TISCO board met on 19 April 1993 and had some strong reservations about his demands. However, JRD and Ratan intervened to support granting him several benefits. But as Tata Sons was unable to accede to all his requests, Mody waged a long-drawn-out legal battle against the company. He continued to attack Ratan at every turn.

But on 19 May 1997—two days short of four years since his departure from TISCO—apparently as a result of some deep introspection, Mody